

Module 12

Business Finance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The acquisition should be postponed because the terms and conditions of acquisition have breached the general principles in Hong Kong's Codes on Takeovers and Mergers and Share Buy-backs (the "Codes"), which provide a framework for market participants to self-regulate deal-making activities and to improve the protection of shareholders. The acquisition breaches the Codes because:

The Group does not treat all shareholders of BSL equally because it is offering just to the substantial shareholders of BSL, which is not fair to the minority shareholders of BSL.

The Group just wants to acquire shares from the substantial shareholders and does not plan to give general offers to purchase shares from the minority shareholders of BSL.

The share price offer information is only available to the substantial shareholders in BSL and other shareholders do not get this information, which is not fair to the minority shareholders.

The close family relationship between the executive director of the Group and the managing director and key shareholder of BSL has not been disclosed in the acquisition, which is important information that should be disclosed to all shareholders of both companies.

The Group wants to use three weeks to complete the acquisition, which does not provide sufficient time to all shareholders of both companies to consider all terms of acquisition to reach an informed decision.

The Group also fails to disclose the above matters to regulators, which breaches the Codes.

If the Group proceeds with acquisition without following the Codes, the acquisition may be challenged by minority shareholders of BSL. Though the Codes do not have legal enforcement power, the SFC and Takeovers and Mergers Panel can take disciplinary action against anyone who breaches the Codes by issuing public statement criticism or public censure and requiring compensation to be paid to those who have suffered losses as a result of breaches of the Codes.

Answer 1(b)

The new financial controller is a professional accountant in business. The HKICPA Code of Ethics has provided the following ethical guidelines that are specifically applied to professional accountants involved in business acquisitions.

Conflict of interest

The new group financial controller should avoid creating a conflict of interest situation that affects objectivity in the acquisition of BSL. For example, the new group financial controller should not invest in BSL to avoid self-interest threat if he is involved in the acquisition of BSL on behalf of the Group.

Presentation of information

The new group financial controller should act professionally with due care and objectivity when he prepares financial reports or information for the acquisition of BSL. For example, the new group financial controller should be very careful to conduct financial due diligence to assess the financial feasibility of the acquisition and to prevent inaccurate or misleading financial analyses and reports.

Acting with sufficient expertise

The new financial controller should ensure professional competence with prerequisite knowledge and skills to perform professional work in the acquisition. For example, since the new financial controller does not have professional valuation designations and working experience, it is better to hire a professional valuer to provide a professional valuation of BSL.

Inducements

Accepting inducements will create a self-interest threat, familiarity or intimidation threat that affects integrity, objectivity and professional behaviour in acquisition. For example, the new group financial controller should not accept gifts or hospitality offered by BSL.

Laws and regulations

The new group financial controller should ensure the acquisition complies with laws and regulations in Hong Kong. For example, the new group financial controller should comply with the Listing Rules and the Codes in the acquisition of BSL.

Pressure to breach the fundamental principles

Pressure to breach the fundamental principles will create an intimidation threat to professional accountants in acquisition work. For example, the new group financial controller is being asked and instructed by Peter to provide a recommendation to acquire BSL to benefit his father-in-law who is the managing director and major shareholder of BSL.

Answer 2(a)

GNL is insolvent because it has negative shareholders' equity and cannot pay off suppliers. GNL could propose debt restructuring as an informal way to handle debts with creditors. Since GNL would like to continue the business for strategic reasons, GNL could contact suppliers and banks to restructure debts by entering into standstill agreements. GNL could call a creditors' meeting to request creditors to allow partial or delayed payments to them. GNL could use the debt restructure to avoid further default on current debts and may be able to negotiate lower interest rates on existing debts. This would also help GNL to buy time to conduct debt restructure by developing new business plans and strategies to increase manufacturing capacity, to sell nutrient solutions, and to repay the debts. Once GNL could get all creditors to agree and sign the debt restructure agreements, the agreements temporarily remove the threat of creditors' claims and keep GNL operating as usual.

If GNL could not get all creditors to agree on debt restructure agreements, GNL can enter into a court process to implement a Scheme of Arrangement based on Companies Ordinance s.673 which allows the court to sanction arrangements or compromises between creditors and GNL. The court will order to convene creditors' meeting to ascertain the creditors' wishes to support the scheme proposed by GNL. The Scheme of Arrangement would be successful when the majority of creditors attended the meeting with 75% in value for each classification of eligible creditors vote in favour of the scheme under s.674(1), then the court will approve the terms of the scheme and the court order sanctioning the scheme will be filed with the Company Registry.

Answer 2(b)

If GNL fails to agree with creditors on the scheme of arrangement, creditors could petition to the court to liquidate GNL by issuing a winding-up order and to appoint a liquidator. The liquidator appointed by the court will be responsible for selling GNL's assets to repay outstanding debts. Once the liquidator is appointed, GNL's Board of Directors is no longer in control of GNL. The proceeds realised by the liquidator will be distributed to creditors according to their seniority on repayment in a liquidation scenario under the normal circumstances, the distribution priority will be secured creditors, preferential creditors and unsecured creditors.

Answer 3

To: Chief Financial Officer ("CFO") of Green House B.V. ("GH")
From: Financial Controller of Hydrofarm Group Limited ("the Group")
Subject: ESG principles and disclosure requirements in Hong Kong

Dear CFO of GH,

The ESG principles and disclosure requirements in Hong Kong are documented in Listing Rules Appendix 27 Environmental, Social and Governance Reporting Guide. The Group is a listed company that is required to follow the guideline to produce either audited or unaudited ESG reports incorporated in the annual report or in a separate report annually covering 1 January 2021 to 31 December 2021 before May 2022 for the financial year ending 31 December 2021.

There are four reporting principles, namely materiality, quantitative, balance and consistency, to prepare the ESG reports.

The materiality principle describes the threshold that ESG issues determined by the Board of Directors are sufficiently important to report to investors and other stakeholders. It is determined by a materiality matrix to prioritise the reporting of internal and external issues. For example, if the Group considers some environmental issues as not material and chooses not to report on a "comply or explain" approach, it must provide reasons in the ESG report.

The quantitative principle states that the Group should set key performance indicators to measure and explain each reporting issue in actual numerical figures with narrative explanation of disclosing purpose and impact with comparative data. For example, the Group should set key performance indicators to measure electricity and water consumptions used to grow vegetables and set key performance indicators to manage and reduce their consumptions in the ESG report.

The balance principle states that the ESG report should provide an unbiased report on the Group's ESG performance to avoid selection, omissions or presentation formats that may inappropriately affect a decision or judgment made by report users. For example, the Group should provide all information on the compliance of laws and regulations related to environmental protection in agriculture that have significant impacts on the Group.

The consistency principle states that the Group should use consistent methodologies to prepare the ESG report so the readers could compare ESG data over time. Moreover, the ESG should include a statement to confirm no change in the way the ESG report has been prepared from previous years, or the Group should provide a description of any changes that may affect meaningful comparison with information in previous ESG reports. For example, the Group should disclose any changes in methodologies or calculation methods to measure electricity and water consumptions in the ESG reports.

If you have any questions, please feel free to contact us.

Regards,

Financial Controller of the Group

Answer 4(a)

Calculation of WACC before the acquisition of the property:

Cost of debt (before tax)

$$\text{HK\$}990.5 = \text{HK\$}1,000 \times 3\% / (1 + \text{cost of debt}) + (\text{HK\$}1,000 \times 3\% + \text{HK\$}1,000) / (1 + \text{cost of debt})^2$$

$$\text{Cost of debt (before tax)} = 3.5\%$$

Cost of equity

$$= 1\% + 2 \times (5\% - 1\%)$$

$$= 9\%$$

WACC after tax

Total amount of debt and equity:

	Amount (HK\$)	Proportion of total capital (%)
Debt	99,050,000	24.8
	(100,000 x 990.5)	
Ordinary shares	300,000,000	75.2
	(30 million x 10)	
Total	399,050,000	100

$$= 0.752 \times 9\% + 0.248 \times 3.5\% \times (1 - 0.165)$$

$$= 7.49\%$$

Calculation of new WACC after the acquisition of the property:

Calculate the impact on the return on equity after the loan:

De-leverage the current equity beta:

$$= 2 / (1 + (99.05 / 300) \times (1 - 0.165))$$

$$= 2 / 1.276$$

$$= 1.567$$

Revised equity beta:

$$= 1.567 \times (1 + (299.05 / 300) \times (1 - 0.165))$$

$$= 1.567 \times 1.832$$

$$= 2.871$$

Revised cost of equity based on revised equity beta:

$$= 1\% + 2.871 \times (5\% - 1\%)$$

$$= 1\% + 11.48\%$$

$$= 12.48\%$$

Recalculate the cost of debt:

	Amount (HK\$)	Yield to maturity (%)	Weighted average cost of debt (pre-tax)
Debt	99,050,000	3.5	0.012 = (0.035 x 99.05 / 299.05)
Loan	200,000,000	4	0.027 = (0.04 x 200 / 299.05)
Total	299,050,000		0.039

Weighted average cost of debt (pre-tax) is 3.9%.

Revised WACC after tax

$$\begin{aligned} &= (300 / (299.05 + 300)) \times 12.48\% + (299.05 / (299.05 + 300)) \times (3.9\% \times (1 - 0.165)) \\ &= 6.25\% + 1.63\% \\ &= 7.88\% \end{aligned}$$

The WACC increases from 7.49% to 7.88% after obtaining the new loan.

Answer 4(b)

The increase in weighted average cost of capital is mainly due to the higher interest rate of the loan, which increases the cost of debt of the Group. Moreover, the increase of debt and equity ratio also increases the financial risks of the Group that equity owners require higher return to compensate for the increase of risks.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

To assess the impacts of the strategic decision, the Company shall focus on external factors with the following analysis.

Industry Analysis

The Company can refer to Porter's Five Forces, which cover industry competition and can help the Company to assess how to increase its bargaining power over suppliers and buyers, as well as the entrance barriers and its respective threat on the substitution of the products.

The products are required to get various certifications recognised as effective for preventing viral infection in order to be used in hospitals, so the entrance barriers are relatively high. However, the Company also needs to study the actual industry competition, such as medical masks and PPE kit manufacturing capability in Hong Kong.

The Company shall also consider the principle of substitutability, including the demand and the supply. The Company needs to consider if the demand of medical masks and PPE kits would change according to the pandemic situation, and if any substitute would be available which may affect the demand of these products. The Company shall also consider the substitutability of the supply, i.e. the materials for making medical masks and PPE kits.

Geography is another consideration since the importation is not very restricted for these kinds of products. The Company also needs to consider the production price and assess if the price and cost is competitive with imported products from other countries.

Customer Analysis

The Company shall analyse the existing customers of the Target and its potential future customers arising from expansion of the existing network. The Company can make better decisions about how to offer unique value or value-add to its customers, such as by integrating these products with the existing products of the Company and providing a one-stop solution on health and virus prevention.

Data Analysis

The Company can consider using "big data" as well as "advance analytics" technology to assist the above assessments. This is a very popular technology available to many organisations that can assist the Company to deal with huge volumes of data and convert these data into valuable insights such as market share, competitor trends, customer behaviours, as well as other emerging trends.

Answer 5(b)

The Company shall determine its financing decisions by considering the balance of profitability and risk as well as allocation of current and non-current assets to match with appropriate short-term and medium-term sources of funds. Normally, short-term financing is used to cover projects or funding needs for up to one or two years, medium-term financing is for two to five years, and long-term financing is used to cover any projects or investment which is over five years or more.

The Company can consider the following three strategies to determine the appropriate financing options.

The maturity matching strategy

The Company can consider matching their financing with the expected life of their acquisition. Under this strategy, the Company can consider financing by using a long-term financing with a payback period of six years. The Company can also consider further matching the repayment terms of the long-term financing with the expected net cash inflow in each year (i.e. HK\$50 million per year).

The long-term funding strategy

The Company can also consider relying on long-term debts to finance both working capital and fixed assets, including the capital expenditure.

However, the Company shall assess the permanent working capital requirement as the Target is not in capital-intensive industry, and for the first ten years the Target does not require any further capital investment, and no additional working capital is required. So, this strategy may only be relevant for the Target in the later part of their business cycle, i.e. after 10 years.

The short-term funding strategy

This strategy is mainly for financing the seasonal working capital needs; however the Target is not required to fund any seasonal working capital.

However, the Company may view that short-term rates are lower than longer-term rates, and the Company may receive very competitively priced financing under the current low interest rate environment; however the Company will face future interest rate increases and refinancing risks.

Conclusion

The Company shall adopt the maturity matching strategy in this case.

Answer 5(c)

Since the bond issue is intended to be opened to the public and not solely to professional investors, the Company needs to follow the Corporate Bond Issuance Programmes in Hong Kong for public offers of corporate bond in Hong Kong, and the offers must comply with the requirements of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap. 32) ("CWUMPO"), and it is also required to be approved by the Securities and Futures Commission ("SFC").

The Company needs to prepare a prospectus according to the CWUMPO, which is disclosure-based, and in accordance to Part 1 of the 3rd Schedule to the CWUMPO.

Although appointment of an underwriter is optional, the underwriter could support the preparation and submission of all relevant information and necessary documents for approval to the regulatory authorities and market institutions. The underwriter usually has a better network to reach the intended investors and smoothen the issuing process.

Answer 6(a)(i)

HK\$'million	SL		Grandfort	
Sales	4,000	100%	12,000	100%
Cost of sales	<u>2,400</u>	60%	<u>9,600</u>	80%
Gross margin	1,600	40%	2,400	20%
Advertising and promotion	320	8%	720	6%
Operating expense	<u>360</u>	9%	<u>780</u>	7%
Profit before interest and tax	920	23%	900	8%
Interest expense	<u>184</u>	5%	<u>135</u>	1%
Profit before Tax	<u>736</u>	18%	<u>765</u>	6%

Answer 6(a)(ii)

The gross margin of SL (40% of sales) is higher than Grandfort (20% of sales), which reflects that the products sold by SL, i.e. mobile phone accessories, are more profitable compared with the computer accessories sold by Grandfort. This could be driven by the cost control capabilities of SL, which seems better compared with Grandfort. However it could be driven by the overall industry practice that the gross margin for selling mobile phone accessories is higher. Another reason could be that mobile phone accessories such as mobile phone cases, involved relatively simple technology compared with keyboards and cameras, have lower costs and higher margins.

The advertising and promotions spending of SL (8% of sales) is higher than Grandfort's (6% of sales), which can reflect mobile phone accessories requiring more advertising and promotion spending. However, it could also be subject to different marketing strategies, especially since SL is relatively new compared with Grandfort, so SL may intend to spend more on advertising and promotion to enhance brand awareness, especially as the sales of SL are much lower than Grandfort at this moment.

The operating expenses of SL (9% of sales) is higher than Grandfort's (7% of sales), which can reflect the better cost control of Grandfort compared with SL. However, a more detailed analysis could be conducted to analyse the breakdown of the operation expenses into salary, rent, etc, and compare the headcount and apply further measurements, like productivity (i.e. sales per headcount) to study the cost structure of the two subsidiaries.

The interest expense of SL is significantly higher than Grandfort's. This indicates the business of Grandfort requires less borrowing to finance its business compared with SL. Since the interest rate for the borrowings are the same, more interest expenses indicate the borrowing of SL is at a bigger scale versus its sales. Grandfort has a much longer operational history than SL, and hence can use the accumulated retained earnings as a source of funds to reduce the borrowing requirements.

Finally, the profit before tax of SL (18% of sales), which is higher than Grandfort (6% of sales), is mainly driven from the high margin of SL, although the overall spending, such as advertising and promotion, operating expenses and interest expenses, is higher for SL.

It is worth noting that the size of SL's business is only one-third of the size of Grandfort's in terms of sales; however, SL's profit before tax is already 96% of Grandfort's profit.

Answer 6(b)

It is important for the Company to have appropriate policies and procedures to manage the financial risks, as financial ratios are one of the key financial health indicators. Financial risks can be properly monitored to prevent financial distress, which is one of the critical enterprise risk management measures.

In order to manage its key financial health indicators, the Company can use the financial ratios to identify any early warnings that may indicate a worsening profitability situation.

Answer 6(c)

Interest rate of the loan: $0.07\% + 0.25\% = 0.32\%$.

The loan of SL = HK\$184 million / $0.32\% = \text{HK\$}57.5$ billion

Profit before interest and tax of SL: HK\$920 million

Breakeven interest for SL :

$\text{HK\$}920 \text{ million} / \text{HK\$}57.5 \text{ billion} = 1.60\%$

Breakeven HIBOR for SL: $1.60\% - 0.25\% = 1.35\%$

Answer 6(d)

Candy can consider entering into an interest rate swap with a bank.

Interest rate swaps are contractual agreements that allow the Company to lock up its floating rate position into a fixed rate for a certain period guaranteed by its counterparty regardless of the fluctuation of the floating rate during that period.

So the Company can lock up its HIBOR, in this case, for any rate below 1.35% so the Company with its current profitability will not suffer a loss if HIBOR rises in the future.

Answer 7(a)

Based on the available information provided, Centric shall use market based model or dividend discount model for valuation.

Market based model

Earning x Market P/E ratio
=HK\$50 million x 15
=HK\$750 million

Dividend discount model

$E(R_i)$ = the expected return
 β_i = the beta factor = 1.25
Expected market return: $E(R_m) = 6.5\%$

$E(R_i) = R_f + \beta_i (R_m - R_f)$
 $E(R_i) = 0.3\% + 1.25 \times (6.5\% - 0.3\%)$
 $E(R_i) = 8.05\%$

Dividend / Expected returns on equity
= HK\$50 million x 85% / 8.05%
= HK\$528 million

Answer 7(b)

The challenge of the CFO is justified. (no mark would be awarded if the justification below is not awarded any marks)

P/E ratio shall depend on the following factors:

The P/E ratio reflected in a listed company is different from that in a private company which is not listed publicly. The liquidity of a private company is weaker, i.e. it is more difficult for the investors of a private company to exit/ sell their shares than those of a listed company. As Regency is a private company instead of a listed company, the P/E to be used shall not be identical. To evaluate the respective P/E to be adopted, Regency shall be compared with comparable entities or the industrial average. A subjective judgement like applying a discount on the P/E ratio shall be made to reflect the lack of liquidity.

The P/E ratio of a high-growth entity is high to reflect the expected growth in future. Entities with a higher growth potential, lower risk and higher payout generally have higher P/E ratios. Regency may not have the same future growth as the industrial average. The P/E ratio also reflects the perceived business and financial risks of an entity. Regency may not have the same financial structure, so the applicable P/E would be different.

Answer 7(c)

Consideration to be paid in HKD after one year

HK\$500 million x 15% x 50% = HK\$37.5 million

If Mars enters into the forward contract, SGD to be paid after one year

HK\$37.5 million / 5.76 = SGD 6,510,417

If Mars does not enter into the forward contract, SGD to be paid after one year

HK\$37.5 million / 5.8 = SGD 6,465,517

Mars is paying SGD 44,900 more if it enters into the forward contract.

Mars shall not hedge the position.

* * * END OF EXAMINATION PAPER * * *